

Let's Talk Finance 1

Teachers'
Answer Book

This resource has been written to provide support for the 20 **Let's Talk Finance 1** topics, written for a teacher with no prior finance background: Every Reading answer is verified against the current article text and question wording. Every Discussion answer explains what a strong response covers, why, and — where the question is genuinely open — the main alternative view(s) a learner might reasonably take instead.

These are suggested directions, not single correct responses; the teacher’s role is to guide reasoning, not to mark against one fixed answer.

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1.1. Cryptocurrency Regulation

Aim: Explain why governments have moved to regulate crypto-assets, and how the main approaches around the world differ.

Target vocabulary: cryptocurrency, blockchain, crypto exchange, stablecoin, issuer, supervision.

Reading answers:

1. Without a bank in the middle, it is harder to check who is sending money, harder to stop fraud, and harder to protect people who do not understand the risk.
2. Theft (the Mt. Gox and Coincheck hacks) and collapse (the failure of FTX).
3. The EU wrote one large, EU-wide framework (MiCA) covering many kinds of crypto-asset; the US moved later and more narrowly, with a law (the GENIUS Act) covering only payment stablecoins.
4. Hold safe assets equal to every coin in circulation and publish regular reports.
5. Because crypto moves easily across borders, so no single country's rules can fully contain the risks on their own.

Discussion answers:

1. **Japan regulated crypto exchanges years before the EU or the US. What are the advantages and disadvantages of being an early mover on rules like these?** A strong answer names a real advantage and a real disadvantage, not just one side. In favour of moving early: Japan's 2017 registration regime came directly after the Mt. Gox and Coincheck losses, so it protected customers sooner and gave the industry legal clarity before it grew even larger. The disadvantage of moving first: rules written early may not fit problems that only appear later (new kinds of token, new business models), and a country with strict early rules can see firms relocate to looser jurisdictions while the market is still small. A learner could reasonably argue Japan's approach paid off because it avoided a Japan-based FTX-scale collapse — that is a defensible use of the reading's own evidence.
2. **The EU chose one law for all its members; the US chose a narrow law about stablecoins only. Which approach do you think is better, and why?** There is no fixed correct answer. A case for the EU's approach: one broad framework (MiCA) gives firms and customers the same rules everywhere in a large market, reducing the confusion of many different national regimes. A case for the US's narrower approach: a law focused only on the clearest, most measurable risk (stablecoins failing to hold their promised value) can be passed faster and is easier to enforce well, rather than trying to regulate a fast-changing industry all at once. A strong answer should note the trade-off directly: breadth versus speed and focus.
3. **Should a stablecoin be treated like money, like an investment, or like something new? Explain your choice.** This is a genuinely open classification question. Treating it like money fits how people use a stablecoin day to day (to pay, to hold value), and

supports strict backing rules like the ones MiCA and the GENIUS Act require. Treating it like an investment fits the fact that a stablecoin can still fail if its backing assets are unsafe, so buyers face real risk, unlike cash. Treating it as something new avoids forcing an imperfect old category onto a new tool, but risks under-regulating it in the gap between the two frameworks. A strong answer picks one and explains what protection that choice would justify.

4. **A friend says crypto does not need rules because “people choose the risk themselves.” How would you respond?** The reading’s own cases are the direct rebuttal to draw on: Mt. Gox and Coincheck customers did not choose to be hacked, and FTX customers did not know the exchange was, in the reading’s words, “poorly supervised” until it collapsed with their money missing. The point to make is that without rules requiring firms to be honest about what they actually do with customer money, “choosing the risk” is not a real choice, because customers cannot see the real risk they are taking. A learner could add that some risk (a coin’s price falling) is a fair thing to choose, but losing money to fraud or theft because a firm was never checked is a different kind of risk entirely.
5. **Advise a country that is deciding whether to copy MiCA, write a narrower law, or wait. What should it consider?** A strong answer should weigh: the size and urgency of the risk already present in that country (a country with active local exchanges and past losses has less reason to wait than one with almost no crypto activity yet); the cost and speed trade-off the reading raises between a broad framework and a narrow one; and the risk that “waiting” pushes activity toward looser supervision elsewhere, echoing the reading’s closing point about rules that arrive too late. A recommendation to wait is defensible only if paired with active monitoring, not simple inaction.

Confidentiality note: Discuss public regulatory frameworks and named companies only; do not ask learners to discuss their own crypto holdings or trading.

1.2. Central Bank Digital Currencies

Aim: Explain what a central bank digital currency is, why most central banks are studying one, and why almost none have launched.

Target vocabulary: central bank digital currency (CBDC), retail CBDC, wholesale CBDC, claim (on the central bank), pilot, disintermediation.

Reading answers:

1. Cash is a claim on the central bank; money in a bank account is a claim on a commercial bank.
2. A retail CBDC is central-bank money ordinary people could hold and use directly, without a bank in between; a wholesale CBDC is used only for settlement between financial institutions.
3. Take-up was very weak — the large majority of digital wallets had never been used at all.
4. Because much of that use was pushed by the government (for example through staff payments) rather than chosen by shoppers, who already use Alipay and WeChat Pay.
5. EU lawmakers must first pass a new law, and even then a first issuance would not come before 2029.

Discussion answers:

1. **The reading says central banks give “defensive” reasons for this work. Are those reasons strong enough to justify the cost and effort? Give your view.** A strong answer weighs the stated reasons — keeping public money available as cash use falls, faster and cheaper payments, less dependence on a few large private payment firms or stablecoins — against the reading’s own evidence that take-up has been very weak everywhere it has launched. A learner arguing “yes” might say the value is precautionary, like insurance: the cost of testing now is small compared with being unprepared if cash disappears faster than expected. A learner arguing “no” might point to Sweden’s Riksbank, which studied the idea for years and then concluded there was not yet enough need — a reasonable, evidence-based decision to stop rather than launch.
2. **Compare the risks of issuing a CBDC with the risks of not issuing one. Which set of risks is more serious?** Risks of issuing: people might pull money out of banks in a crisis (this is disintermediation — cutting the commercial bank out of the middle), privacy concerns from a digital record of spending, and public indifference wasting the investment, as seen with the eNaira. Risks of not issuing: losing control of the payment system to private stablecoins or foreign payment platforms, and being unprepared if cash use falls faster than expected. There is no single correct ranking; a strong answer should pick one side and use a specific piece of reading evidence (not just a general statement) to support it.

3. **If a digital yen were introduced in Japan, what would make you use it instead of cash or a payment app? What would put you off?** This is a personal, open-ended question — assess it on whether the learner connects their answer to a mechanism from the reading, not on a “correct” preference. A reason to use it: if it worked everywhere cash and cards do now, with strong privacy guarantees the reading notes are a genuine public concern. A reason to avoid it: if it required a bank-style account with paperwork foreign residents already find difficult (echoing Topic 1.5), or if the privacy question were not clearly answered.
4. **Several countries launched a CBDC and then saw very low use. What lessons should other central banks take from that?** Strong lessons drawn directly from the reading: building a CBDC does not create demand for it if existing tools (cash, mobile-money apps, cards) already work well for people; and government-driven use (like the eNaira’s push through staff payments) is not the same evidence of success as voluntary public take-up. A central bank planning a launch should test genuine demand first, not just technical feasibility. A learner might also note China’s caution — even its huge pilot volume is qualified in the reading because much of it was not freely chosen.
5. **Advise a central bank that is deciding between launching a CBDC now, running a longer pilot, or stopping the project. What should it weigh?** A strong answer draws on the range of real positions in the reading itself: the Bahamas/Jamaica/Nigeria group launched and found weak demand; China, the ECB and the Bank of Japan are still piloting; Sweden studied and stopped. Factors to weigh: whether cash use is falling fast enough in that country to create real urgency, whether a private alternative (a dominant payment app, a stablecoin) is already filling the gap in a way regulators are uncomfortable with, and the legal/timeline reality (as the ECB’s case shows, launching may take years even after a decision to proceed). “Stopping is a legitimate outcome” should be explicitly allowed as one right answer, following Sweden’s example.

Confidentiality note: Discuss public CBDC pilots and survey data only.

1.3. Financial Technology (Fintech) Regulation

Aim: Compare the main ways governments regulate fintech, and show why a firm licensed in one country usually cannot operate in another.

Target vocabulary: fintech, regulatory sandbox, open banking, application programming interface (API), licensing, real-time payment system.

Reading answers:

1. It lets a new firm test a product with real customers for a limited time, under tailored rules and close supervision.
2. A firm authorised in one EU country can then offer services across all the other EU countries.
3. Because in the US a money-transfer firm must be licensed separately in each state where it operates.
4. India built the Unified Payments Interface (UPI), public payment infrastructure overseen by the Reserve Bank of India; it has grown to more than 240 billion transactions in a single financial year.
5. Get a fresh authorisation in that other country.

Discussion answers:

1. **The EU wrote one broad law; the United States relies on many state licences. What are the advantages and disadvantages of each approach?** The EU's single framework (PSD2/PSD3) gives firms one authorisation that works across many countries, lowering the cost of expanding — a clear advantage for growth and for consumers who get consistent protection everywhere. Its disadvantage is that agreeing one rule for many different countries can be slow (PSD3 took until late 2025 to update PSD2). The US's state-by-state system lets each state tailor rules to its own market, but the reading is explicit about the cost: a firm serving the whole country may need dozens of licences, which “tends to favour large, well-funded companies” over smaller challengers. A strong answer should name this fairness/competition trade-off directly.
2. **India focused on building a public payment system rather than regulating private ones. When is that a better choice for a government?** Building public infrastructure (like UPI) works well when a government wants very low-cost, universal access fast, and where private competition alone might leave gaps (as with financial inclusion in Topic 1.5). It also keeps control of the underlying “rails” public, so, as the reading notes, “no single company controls access.” It is a harder path when a government lacks the technical capacity or funding to build and run such a system, or in a market where several strong private competitors already serve most needs well — there, focused regulation of those firms may achieve similar outcomes with less public investment and risk.

3. **A regulatory sandbox gives a few firms relaxed rules for a while. Is that fair to firms not chosen for the sandbox? Explain.** This is genuinely debatable. Against fairness: firms excluded from the sandbox must meet the full rulebook immediately, which could put them at a real cost and speed disadvantage compared with a sandbox firm testing the same kind of product. In favour of fairness: a sandbox is usually open to any firm that applies and meets basic safety criteria, not a closed club, and its purpose (letting a regulator learn about a genuinely new product safely) benefits the whole industry once the resulting rules are set. A strong answer should note that fairness depends heavily on how open and time-limited the sandbox actually is in practice.
4. **Japan's model relies on banks and fintech firms agreeing terms with each other. What could go wrong with that, and what could go right?** What could go wrong: a large bank could set unfavourable or overly costly connection terms for smaller fintech firms, since the reading notes the FSA requires banks to publish open-API policies but does not force any specific commercial terms — a bank's cooperation is not guaranteed to be generous. What could go right: because the rules require registration and disclosure rather than heavy licensing for smaller transfer amounts, genuinely low-risk innovation can move faster than under a strict single-regulator model. A learner should note this is a lighter-touch model than the EU's, with both the flexibility and the uncertainty that implies.
5. **Advise a government that wants to encourage fintech but is worried about consumer losses. Which two rules would you tell it to put in place first?** Strong first choices, grounded in the reading's own examples: (1) some form of sandbox or supervised testing period, so new products are checked with real customers before they scale to the whole market, following the UK's model; and (2) a clear licensing or registration requirement proportional to risk, following Japan's tiered system, so the smallest, lowest-risk firms are not blocked by the same heavy requirements as the largest ones. A learner could instead prioritise open-banking-style rules if they explain the reasoning (giving customers more choice and portability).

Confidentiality note: Discuss public regulatory frameworks only.

1.4. Data Privacy and Protection

Aim: Explain how personal financial data is protected by law, and why moving that data between countries is the hardest part.

Target vocabulary: personal data, data breach, data protection authority, consent, cross-border data transfer, adequacy decision.

Reading answers:

1. Meta moved Facebook users' personal information from Europe to the United States without enough legal protection against access by US authorities — not losing or selling the data.
2. For credit scoring, fraud checks and new services.
3. The EU relies on strict upfront rules (GDPR) with very large possible fines; the US relies more on penalties after a specific breach has already happened, and has no single national privacy law.
4. They recognised each other's data-protection systems as "adequate," so personal data can now flow between the EU and Japan without extra paperwork — the first such mutual arrangement the EU concluded.
5. Data can be sent across the world in seconds, but each country's privacy law only applies within its own borders, so a transfer that is lawful at home can still be unlawful once the data reaches another country.

Discussion answers:

1. **The reading describes a tension between using data and protecting it. Where would you draw the line for a bank that wants to use customer data to detect fraud?** A strong answer should propose a workable rule, not just restate the tension. A reasonable line: a bank should be free to use data for the specific purpose the customer was told about (fraud detection on their own account activity), but should need extra consent or justification to use the same data for a different purpose (such as marketing) or to share it with a third party. The reading's own principle — a clear reason for collecting each piece of data, consent, and keeping only what is needed — gives learners a concrete standard to apply rather than a vague "be careful" answer.
2. **Is a very large fine, like the one imposed on Meta, an effective way to change how big companies handle data? Explain.** In favour: a fine large enough to be noticed by shareholders (€1.2 billion) creates a real incentive for even the largest companies to change their practices, and the reading notes EU regulators have issued close to €6 billion in total fines, suggesting sustained pressure. Against: a company as large as Meta may treat even a billion-euro fine as a cost of doing business rather than a reason to change its fundamental data-transfer model, especially if the underlying commercial benefit of moving data is larger than the fine. A strong answer should note what would make a fine more effective — for example, requiring the company to actually change its data-transfer practice, not just pay the penalty.

3. **Compare protecting data through strict rules (the EU approach) with protecting it through breach penalties (the US approach). Which is likely to work better, and for whom?** The EU's upfront-rules approach is more likely to prevent problems before they happen, because it requires consent and limits collection from the start — better for individuals who want protection guaranteed rather than promised after the fact. The US's after-the-breach approach (as in the Equifax case) may better suit a system that wants to avoid limiting business activity in advance, but leaves individuals exposed until a breach is discovered and only compensated afterward, often only partially. A strong answer should note that “better” depends on whether the priority is prevention or correction, and for whom the cost falls.
4. **Should a person be able to refuse to let their bank share their data, even if that means fewer services or a worse credit offer? Give your view.** This is genuinely debatable. In favour of the right to refuse: consent should be meaningful, and if refusal carries no real option, it is not real consent — this echoes the reading's own emphasis on consent as a core requirement. Against an unconditional right to refuse: some data sharing (for example, for basic fraud checks) may be necessary for the bank to operate safely at all, so an absolute right to refuse everything could undermine services the customer still wants. A strong answer distinguishes between data sharing that is core to the service and data sharing that is optional or commercial.
5. **Advise two countries that want to allow data to flow freely between them. What would each need to check about the other first?** The EU-Japan case in the reading is the direct model: each country needs to check whether the other's data-protection law offers a broadly similar standard of protection (an “adequacy” assessment), including how much access that country's own government or security agencies have to the data once it arrives — exactly the concern that led to the Meta fine when data went to the US. A strong answer should note this is not a one-time check; laws and practices can change, so the arrangement would need periodic review.

Confidentiality note: Discuss public regulatory decisions and named public cases only; do not ask learners to discuss their own or their employer's data practices.

1.5. Financial Inclusion Initiatives

Aim: Explain what financial inclusion means, how developing countries have widened access to accounts, and why it means something different in a rich country.

Target vocabulary: financial inclusion, the unbanked, mobile money, agent banking, instant payment system, cashless payment.

Reading answers:

1. It rose from roughly half of adults in 2011 to nearly 80% by 2024.
2. It lets people hold and send money using a basic phone, with cash paid in and out through local shop agents rather than bank branches.
3. It opened more than 500 million basic bank accounts, most held by women and rural residents.
4. Because Japan is already effectively fully banked, so the challenge is about how people pay and who is left behind as cash and branches decline, not about opening a first account.
5. It made sure remote areas had somewhere to save, through a savings system with roots going back to 1875 and around 24,000 branches.

Discussion answers:

1. **In several countries, governments rather than private banks built the tools that widened access. When is that the right choice, and when is it not?** Government-built infrastructure (India's Jan Dhan accounts, Brazil's Pix) works well when private banks have little commercial incentive to serve low-income or rural customers, so the market alone will not close the gap quickly. It is a weaker choice where private mobile-money providers (like Kenya's M-Pesa, run by a telecoms company) already reach people effectively — in that case, government effort might be better spent on oversight and interoperability rather than building a competing system. A strong answer should note the underlying question: is the gap a market failure (nobody profitable will serve these customers) or simply an early-stage market that private firms are already filling?
2. **Having an account is not the same as using one. What might stop someone from using an account they have been given?** The reading's own India figure — about 16% of account holders have an inactive account — invites concrete reasons: not understanding how or why to use it, distance from an agent or branch despite having the account, distrust of a new system, or simply having no immediate need if cash still works fine for daily life. A strong answer should distinguish access barriers (can they reach the service) from usage barriers (do they understand or trust it), since the fix for each is different.
3. **Compare Kenya's mobile-money route with Brazil's central-bank payment system. What are the strengths of each?** Kenya's M-Pesa strength: it grew from a private company's own network of local agents, so it reached people through existing

everyday shops rather than needing new infrastructure — fast and commercially self-sustaining. Brazil's Pix strength: because the central bank itself built and mandated the system, it achieved extremely fast, near-universal adoption (two-thirds of adults within about a year) and works the same way for every bank and user in the country, without relying on one company's commercial network. A strong answer should note the trade-off: private-led growth can be faster to start but fragmented; public-led systems can scale uniformly but need government capacity and willingness to act.

4. **In a rich country, who is most at risk of being “left behind” as cash and branches disappear, and what could be done for them?** The reading names two groups directly: elderly and rural customers as branches and cash machines close, and foreign residents who face language and paperwork barriers to opening an account. Possible responses: maintaining a minimum level of physical cash access (branches, machines, or a body like Japan Post Bank) in areas most affected, and simplifying account-opening requirements or providing multilingual support for foreign residents. A strong answer should connect the response directly to the specific barrier named, not offer a generic “more support” answer.
5. **Advise a government that wants to bring its unbanked population into the financial system. What two steps would you tell it to take first?** Strong first steps, grounded in the reading's own successful examples: (1) build or encourage a low-cost, widely accessible way to hold and move money that does not require a traditional bank branch (mobile money, agent banking, or a public instant-payment system); and (2) address the access-versus-use gap directly, since the reading shows opening accounts alone (as in parts of India) does not guarantee people actually use them — this could mean financial education, or making the account genuinely useful for something people already need to do (receiving wages, paying bills). A learner who names only “open more accounts” without addressing use should be pushed to explain how they would ensure the accounts are actually used.

Confidentiality note: Discuss public programmes and survey data only.

2.1. Regulatory Responses to Market Volatility

Aim: Explain how exchanges and regulators try to slow a falling market, using circuit breakers and trading halts, and why these tools are debated.

Target vocabulary: market volatility, circuit breaker, trading halt, stock index, short selling, daily price limit.

Reading answers:

1. It fell 4,451 points, or 12.4%, the largest one-day points fall in its history; the next day share prices in Tokyo recovered much of the loss.
2. A circuit breaker is a rule that stops trading for a fixed time when prices fall by a set amount; it was created after the "Black Monday" crash of 19 October 1987, when the Dow Jones index lost 22.6% in one session.
3. Falls of 7%, 13% and 20% in the S&P 500 index; the first two trigger a 15-minute halt, and the third closes the market for the rest of the day.
4. They added limits that pause trading in a single stock if its price moves too far too fast.
5. Because traders rushed to sell before the halt could take effect, which made the fall worse, and the market closed just half an hour after opening on the fourth day.

Discussion answers:

1. **A circuit breaker forces a pause on people who may want to trade. When is it fair to stop a market, and when is it not?** A strong answer weighs both sides directly. It is easier to defend a pause when prices are moving so fast that firms and regulators genuinely cannot process what is happening (as after the 1987 crash, which the pauses were designed to prevent) — the reading's own case that a break "gives firms time to check their systems and gives regulators time to spot errors." It is harder to defend when the pause itself changes behaviour for the worse, as the reading's China example shows: traders raced to sell before the trigger, which is exactly the "magnet effect" argument against the tool. A strong answer should note this is not simply about fairness to individual traders, but about whether the pause actually achieves calm.
2. **The reading gives one case where a circuit breaker seemed to make a fall worse. Does that mean the tool is a bad idea? Explain your view.** This is deliberately open, and the reading itself says "the research is still mixed." A learner arguing "no, not a bad idea overall" can point out that most large exchanges have kept their circuit breakers despite China's failed 2016 attempt, suggesting the tool works well enough in most designs and that China's specific version (perhaps its trigger levels or timing) was the real problem, not the concept itself. A learner arguing the China case is a serious warning can note that a mechanism meant to calm markets that instead accelerates a crash is a fundamental design risk, not a one-off accident. Either position is defensible if the learner engages with the "magnet effect" argument directly.

3. **Daily price limits on single stocks are common in Asia but rare in the United States. What might explain that difference?** The reading does not state a direct cause, so this is a reasoning question — assess it on whether the learner proposes a plausible mechanism rather than guessing. A reasonable answer: US markets rely more on halting the whole market or a single stock only in extreme, unusual events (like the 2010 flash crash), trusting normal trading to self-correct; Asian exchanges may prefer to build in a standing daily limit as routine market structure, accepting a slightly more constrained market in exchange for more predictable, contained daily moves. A learner could also note market structure or investor-base differences without needing to prove them definitively — the goal is a reasoned hypothesis, not a verified fact.
4. **Some investors say pauses just delay bad news. Others say a break prevents panic. Which argument do you find stronger, and why?** Both arguments appear directly in the reading. “Delays bad news” is essentially the magnet-effect critique — a pause does not change the underlying facts driving the fall, so trading will likely resume in the same direction once it reopens. “Prevents panic” is the supporters’ case — a short break lets people think rather than react, and gives time to correct genuine errors (a mistaken trade, a technical glitch) before they cause further damage. A strong answer should note these two claims are not actually opposites: a pause can both fail to change the ultimate direction of the market and still succeed in reducing panic-driven overshooting along the way.
5. **You advise an exchange that has never had a circuit breaker. Recommend whether it should adopt one, and set out the two main risks it should weigh.** A recommendation to adopt one should weigh: the risk that badly designed trigger levels or timing could create a magnet effect, as in China’s case, versus the benefit of an orderly pause during a genuine shock like 1987’s Black Monday or the March 2020 pandemic volatility. A recommendation not to adopt one (also defensible) should note the same magnet-effect risk as the primary reason, plus the practical cost and complexity of designing and maintaining the system. Either recommendation is acceptable if the two risks named are drawn from the reading’s own evidence, not invented.

Confidentiality note: Discuss public market events and published exchange rules only.

2.2. Credit Rating Agencies Oversight

Aim: Explain what a credit rating is, why the way rating agencies are paid creates a conflict of interest, and how regulators have responded since 2008.

Target vocabulary: credit rating, credit rating agency, default, conflict of interest, sovereign rating, investment grade.

Reading answers:

1. Because it is an opinion, produced by a private company, about how likely a borrower is to repay — not a measured fact.
2. About 94%; they are paid by the borrower whose bond they rate.
3. They gave top grades to large volumes of US mortgage-backed bonds that later collapsed in value, helping turn a housing downturn into a global crisis.
4. It agreed to pay about US\$1.375 billion to settle government claims over its pre-crisis mortgage ratings.
5. A 2009 regulation required agencies to register, and since 2011 the European Securities and Markets Authority has been their single supervisor, with the power to fine them.

Discussion answers:

1. **The borrower pays the agency that rates it. What other ways of paying for ratings can you think of, and what would go wrong with each?** Strong alternatives to consider: investors could pay for ratings instead of borrowers, removing the incentive to please the borrower, but this could make ratings expensive or exclusive to large investors who can afford them, and smaller investors would lose access. A government or independent public body could fund ratings, but this risks a different kind of pressure — political interference or reduced independence from the state. A subscription model funded by many investors collectively could reduce individual influence over any one rating, but coordinating and funding such a system at scale is difficult. Any well-reasoned alternative is acceptable if the learner also names its own new problem, not just its benefit.
2. **Some investors are required to hold only highly rated bonds. Is that rule sensible, or does it give the agencies too much power? Explain.** In favour of the rule: it protects less sophisticated investors (such as pension funds acting on behalf of ordinary savers) from taking on risk they may not be equipped to evaluate themselves. Against: it makes a rating downgrade far more consequential than a simple opinion should be — as the reading notes, “a downgrade can therefore force selling,” which can itself worsen a borrower’s situation, and it concentrates enormous influence in three private companies whose ratings, the reading shows, were badly wrong before 2008. A strong answer should note this tension: the rule exists precisely because ratings carry real consequences, and that consequence is also the rule’s biggest risk.

3. **Governments have criticised agencies for lowering their ratings. Should a private firm be able to judge a national government's debt? Give reasons.** In favour: a national government's ability to repay does matter to lenders, and an independent outside view (even an imperfect one) can be more objective than a government's own assessment of itself. Against: an unelected private company making judgments that can raise a government's borrowing costs and affect its economic policy sits uneasily with democratic accountability, and the same conflict of interest that affected corporate ratings (the agency wants to keep the borrower's business) applies to sovereign ratings too. A strong answer should note the reading's own evidence that such downgrades "drew sharp official criticism but still moved markets" — showing the tension is real and unresolved even for large, powerful governments like the United States.
4. **Japan supports its own rating agencies alongside the global firms. What are the advantages and drawbacks of having national agencies?** Advantage: a national agency may have deeper local knowledge of domestic companies and market conditions than a global firm applying the same method everywhere, and having more than one source of opinion gives investors more views to compare, as the reading's closing point suggests ("one view among several rather than a guarantee"). Drawback: a domestic agency may face more direct pressure (commercial or even political) from the companies and government of the country it operates in, since it has fewer other markets to fall back on if it damages a relationship at home. A strong answer should weigh both directly rather than assuming national agencies are automatically better or worse.
5. **You advise a regulator that wants investors to rely less on ratings. Suggest two practical steps it could take.** Strong steps grounded in the reading: (1) remove or loosen rules that legally require certain investors to hold only highly rated bonds, so a rating becomes one input among several rather than a legal gatekeeper; (2) require or encourage more disclosure of an agency's own accuracy track record over time (as EU rules already require), so investors can judge for themselves how reliable a given agency's opinions have actually been. A learner could also suggest encouraging investors to fund their own independent credit analysis, provided they explain how that would reduce reliance on the three dominant agencies.

Confidentiality note: Discuss public ratings, settlements and regulatory frameworks only.

2.3. Insurance Market Regulation

Aim: Explain why insurers are regulated differently from banks, what a solvency rule is meant to do, and how the main systems compare.

Target vocabulary: insurer, premium, claim, solvency rule, capital, policyholder.

Reading answers:

1. It was ordered to stop selling policies because it could not meet its future promises to policyholders — the first failure of a Japanese life insurer since the Second World War.
2. That an insurer will still be able to pay valid claims when they eventually fall due, by requiring it to hold enough capital.
3. It sets the required capital at the level needed to survive a loss expected only once in 200 years.
4. Mainly at the state level, through a shared risk-based-capital formula; if an insurer fails, state guaranty associations cover policyholder claims up to set limits.
5. It showed that a large insurance group can threaten the wider financial system; international regulators responded with a global Insurance Capital Standard, agreed in 2024 for the biggest cross-border groups.

Discussion answers:

1. **The reading says an insurer's trouble usually builds slowly, unlike a bank run. Why might slow trouble be harder for a regulator to act on, not easier?** A strong answer should resist the intuitive assumption that "slow" means "easier to catch." Slow-building trouble (like years of guaranteeing returns an insurer's own investments can no longer earn, as in Japan's late-1990s failures) can be easy to explain away year by year — each single year's shortfall may look small or temporary, so a regulator or the company itself may keep assuming conditions will improve rather than acting decisively. A sudden bank run forces an immediate, visible decision; a slow insurance decline can drift for years without a single moment that clearly demands intervention, which is exactly why solvency rules try to set numerical triggers (like Japan's 200% threshold) rather than relying on judgment alone.
2. **The United States regulates insurance state by state; the European Union uses one shared system. What are the strengths and weaknesses of each approach?** The US state-by-state model can tailor rules to different regional insurance markets and risks, but creates fragmentation — a large insurer must satisfy up to 50 different regulators, and, as with the guaranty-association limits, protection can vary by state. The EU's single Solvency II system gives one consistent standard and level of protection across many countries, but agreeing and updating one framework for very different national insurance markets can be slower and less tailored to local conditions. A strong answer should note this is the same fragmentation-versus-uniformity trade-off seen in fintech regulation (Topic 1.3).

3. **Guaranty associations repay failed insurers' customers up to a limit. Who should pay for that protection, and should there be a limit at all?** The reading states the associations are "funded by the industry," meaning healthy insurers effectively pay into a shared pool that protects customers of any insurer that fails — a form of mutual insurance among insurers themselves. A learner could argue this is fair, since the whole industry benefits from customer trust that claims will be paid even if their specific insurer fails. On limits: a cap (such as US\$300,000 for a death benefit) protects the fund from being overwhelmed by one very large failure, but also means large policyholders are not fully protected — a genuine trade-off between fund sustainability and full customer protection that a strong answer should name explicitly.
4. **Should the largest insurance groups face an extra global standard on top of national rules? Give reasons for and against.** In favour: the AIG case shows a single large, internationally active insurer can threaten the wider financial system well beyond its home country, so a common cross-border measure (the global Insurance Capital Standard) helps supervisors in different countries compare the same group consistently. Against: it adds a further layer of complexity and cost on top of already-different national systems (Solvency II, US risk-based capital, Japan's solvency margin ratio), and a large, well-capitalised group operating safely within strong national rules might reasonably ask why it needs an extra standard at all. A strong answer should use the AIG case as concrete evidence for its position, whichever side it takes.
5. **You advise a regulator worried that insurers are earning too little on safe investments. Suggest two things it could watch for as warning signs.** Strong signals to watch, grounded in the reading's own account of the Japanese failures: (1) insurers continuing to guarantee returns to policyholders that are higher than what the insurer's own safe investments can realistically earn over time — a gap that widens quietly for years before it becomes a crisis; and (2) a declining or falling-toward-threshold solvency margin ratio (or equivalent measure) over several consecutive years, since a single bad year is less concerning than a persistent downward trend. A learner could also suggest watching for insurers competing aggressively on guaranteed-return products to win new business, which was part of what drove the Japanese failures the reading describes.

Confidentiality note: Discuss public regulatory frameworks and named historical failures only.

2.4. Stress Testing and Risk Management

Aim: Explain what a bank stress test is, show one case where it worked and one risk it missed, and describe how the practice is used today.

Target vocabulary: stress test, scenario, capital buffer, recession, basis point, risk model.

Reading answers:

1. How much of its capital buffer would remain under a severe scenario; if the buffer falls too low, it must raise more capital or hold back dividends.
2. Because the method and the numbers were made public, so investors could see which banks were sound, and confidence returned faster than expected.
3. Because its assets, at about US\$110 billion, were well below the US\$250 billion threshold above which the annual test was mandatory.
4. Contagion — a sudden loss of confidence after a similarly sized rival collapsed two days earlier — not a shock the recent scenarios had focused on; it lost about a fifth of its total deposits in a matter of hours.
5. Vary the scenarios tested each year (not just repeat past shocks), and treat the test as one instrument among several, alongside day-to-day supervision and the bank's own internal risk models.

Discussion answers:

1. **The 2009 test worked partly because the results were published. What are the risks of making each bank's results public, and do they outweigh the benefits?**
Risks of publishing: a bank shown to be weak could suffer a self-fulfilling loss of confidence — customers or investors might pull money out specifically because of the published result, potentially causing the very failure the test was meant to prevent. Benefits, as shown in 2009: publishing lets the market itself judge which banks are sound, restoring confidence faster than a private regulatory judgment alone could. A strong answer should note the reading's own evidence that publication worked in the specific 2009 case (confidence returned faster than expected), while acknowledging the risk exists in principle and depends on how believable and well-explained the published test is.
2. **A stress test only measures the dangers it is designed to measure. How can a regulator guard against missing the next new risk?** The reading's own two lessons are the direct answer: varying scenarios each year rather than repeating the same shock, and treating the test as one tool among several (alongside day-to-day supervision and a bank's own internal risk models) rather than the sole safeguard. A strong answer might add that regulators should specifically study recent failures for clues about the *next* new risk — Signature Bank's case (a risk from contagion and sudden confidence loss, not the balance-sheet losses the tests usually model) is now informing later test scenarios, exactly the kind of iterative learning the reading describes.

3. **Should smaller banks face the same tests as the largest ones? Give reasons for and against.** Against: smaller banks pose less risk to the wider financial system if they fail, and the cost and complexity of a full stress test may be disproportionate to that risk — this is the existing logic behind size thresholds. For: the Signature Bank case is the direct counter-argument in the reading — it was well below the size threshold and still failed in a way that shook confidence in the wider banking sector, showing that “smaller than the biggest” does not always mean “safe to skip.” A strong answer should either defend the threshold system while acknowledging the blind spot a case like Signature’s exposes, or argue for lowering the threshold while acknowledging the added cost.
4. **The reading says a stress test is valued “less as a precise forecast than as a structured way to ask what could go wrong.” Is that a useful thing for regulators to spend money on? Explain.** In favour: even an imperfect exercise forces banks and regulators to systematically imagine and prepare for bad scenarios, which the reading shows had real value in 2009 regardless of whether the exact numbers proved precisely accurate later. Against: if a test is not meant to be a precise forecast, a critic could argue its main value is public reassurance rather than genuine risk discovery — and Signature Bank’s case shows a real, serious risk can still be missed entirely. A strong answer should engage with both the demonstrated 2009 value and the 2023 blind spot, rather than picking one and ignoring the other.
5. **You advise a regulator designing next year’s scenario. Suggest two shocks it should test for, and say why you chose them.** Any two well-reasoned, current shocks are acceptable; the reading itself gives clear models: a deep recession with rising unemployment and falling house prices (the classic scenario type), a sudden loss of market confidence spreading from one bank to a similarly sized rival (directly relevant after the Signature Bank case), or a technology shock (mentioned as a newer scenario type being explored). A strong answer should explain why each chosen shock is currently plausible and would test something the bank’s normal operations do not already guard against, following the reading’s own principle of varying scenarios rather than repeating the same one.

Confidentiality note: Discuss public stress-test results and named historical cases only.

2.5. Sovereign Debt Management

Aim: Explain how a national government borrows, why it matters who holds the debt and in which currency, and what happens when a government cannot pay.

Target vocabulary: sovereign debt, government bond, debt management office, bond auction, debt restructuring, haircut.

Reading answers:

1. About 206% of national output, the highest of any large advanced economy; there is no crisis because the debt is held almost entirely at home, in yen, so there is no foreign creditor to lose confidence and no foreign currency to find.
2. The Bank of Japan holds about 48%; foreign investors hold only about 8%, with the rest held by Japanese banks, insurers and pension funds.
3. Currency (borrowing in your own money removes exchange-rate risk) and maturity (spreading repayment dates over many years reduces refinancing risk).
4. About 31% of US federal debt held by the public is foreign-owned, with Japan the largest holder; this is manageable because the US dollar is a currency the world wants to hold.
5. Restructuring means negotiating with creditors to stretch out repayment dates or reduce the amount owed; a haircut is a reduction in the value of what bondholders are repaid.

Discussion answers:

1. **Japan carries very high debt safely because it is owed at home in yen. Does that mean the level of debt does not matter? Explain your view.** The reading's own evidence supports a careful "no" — the level clearly matters for other countries (Sri Lanka, Zambia, Ghana all defaulted or restructured at debt levels far below Japan's), but Japan's specific combination of factors (domestic holding, own currency, and — as the companion Book B article on this same topic explains in more depth — very low interest rates for decades) has so far let it avoid the market pressure that forces other governments to act. A strong answer should note this is not a guarantee for the future: those specific conditions could change, and "safe so far" is different from "safe regardless of the level."
2. **Borrowing from foreign investors brings in money but adds risk. When is it worth it for a government, and when is it not?** It is more clearly worth it when a country cannot raise enough money domestically to fund what it needs (as with many lower-income countries), or when its currency is trusted enough globally that foreign lending comes on manageable terms — as the reading notes for the United States, whose currency "the world wants to hold." It is riskier for a smaller economy without that global trust, where foreign lenders can withdraw confidence quickly, and where debt is often in a foreign currency (dollars), which the reading names as "the hardest kind

to carry when trouble comes.” A strong answer should distinguish between a country’s own currency strength and its actual borrowing need.

3. **A haircut means lenders are repaid less than they were promised. Is that fair to those lenders?** In favour of allowing haircuts: when a government genuinely cannot pay in full, forcing full repayment is often literally impossible, so a negotiated reduction (as with Sri Lanka’s roughly 25% cut) may be the only realistic outcome, and lenders who chose to lend to a risky borrower accepted some risk of loss as part of that choice. Against: some creditors, particularly ordinary savers holding government bonds through pension funds, did not choose the risk directly and may be harmed by a decision made at a national level. A strong answer should note that “fairness” here often comes down to whether the borrowing country’s crisis was foreseeable at the time the debt was issued.
4. **Lower-income countries often must borrow in dollars rather than their own currency. What could be done to change that?** The reading’s own example points toward one answer: shared international mechanisms, like the G20’s Common Framework used by Zambia and Ghana, that make it easier to restructure debt when it does go wrong, reducing some of the risk lenders price into dollar-denominated loans in the first place. A learner might also suggest that international bodies could do more to support genuinely local-currency lending markets in developing countries, so that fewer loans need to be denominated in dollars at all — though this is a longer-term, harder structural change than restructuring after the fact.
5. **You advise a government setting up a new debt management office. Suggest two rules it should follow from the start, and say why.** Strong rules drawn directly from the reading: (1) prefer borrowing in your own currency where realistically possible, to avoid the exchange-rate risk that makes foreign-currency debt “the hardest kind to carry”; and (2) deliberately spread bond maturities over many years rather than concentrating repayment in a short window, following the UK Debt Management Office’s approach of keeping an unusually long average bond life — this reduces the risk of having to refinance a large amount all at once during a bad moment in the market.

Confidentiality note: Discuss public debt data and named country cases only.

3.1. Green Finance Initiatives

Aim: Explain what makes a green bond different from an ordinary bond, and why standard-setters and regulators have moved to define the “green” label.

Target vocabulary: green bond, use of proceeds, taxonomy, greenwashing, transition bond, external review.

Reading answers:

1. The green bond carries an enforceable promise about how the money will be spent (only on defined environmental projects, tracked separately) and a duty to report on it afterwards; an ordinary bond carries no such promise.
2. Define the eligible projects, explain how they are chosen, track the money separately, and report on spending and results.
3. About US\$2.9 trillion, with roughly US\$700 billion issued during 2024.
4. Because “green” is otherwise a label an issuer can choose for itself, so regulators wanted a legal definition to limit greenwashing.
5. Because they fund high-polluting sectors that are trying to change, rather than activities that are already clean.

Discussion answers:

1. **The reading says the wind farm is the same whether or not the bond is labelled green. In your view, what real difference does the green label make?** A strong answer should locate the value correctly: the label does not change the physical project, but it changes the accountability around the money that funded it — investors get an enforceable promise about how proceeds are used and a report on outcomes, which they would not get from an ordinary bond. A learner could argue this still matters a great deal, because it lets investors specifically choose to fund environmental projects and hold issuers to that choice, or could argue the label is mostly symbolic since, as the reading notes, the underlying project is identical either way — either position is defensible if it engages directly with the enforceability point.
2. **Is an external review before and after issuance enough to stop greenwashing? What more could be required?** An external review adds independent scrutiny beyond the issuer’s own claims, which is a real safeguard against the simplest kind of false labelling. It may not be enough on its own if the reviewer is paid by the issuer (echoing the conflict-of-interest problem from credit ratings in Topic 2.2) or if the review only checks paperwork rather than tracking whether the funded projects actually deliver the promised environmental benefit over time. A strong answer might suggest ongoing monitoring after issuance, not just a one-time check, or independent verification of the environmental outcomes actually achieved.
3. **Japan’s transition bonds fund industries that still pollute heavily. Is that a fair use of climate finance, or a weakness in the idea?** In favour of fairness: heavy industry and power generation cannot simply stop overnight, so funding their gradual

transformation is arguably more realistic and impactful than only funding already-clean projects that need less help. Against: the reading itself notes transition bonds are “more debated” precisely because investors are funding continued pollution during the transition period, which could be seen as softer climate action dressed in green-sounding language. A strong answer should note this is a genuine disagreement among real investors and policymakers, not a settled question.

4. **Advise a company issuing its first green bond on three things it should do so that investors trust the label.** Strong advice drawn directly from the reading’s own four duties: clearly define which projects are eligible for the funding, explain the process used to choose them, keep the proceeds in a separately tracked account rather than mixed with general funds, and commit to reporting on both spending and actual results afterward. A learner naming any three of these (or the external-review step) with a brief explanation of why each builds trust should pass.
5. **Should a country make the green-bond label a legal standard, as the EU has done, or keep it voluntary? Give your reasons.** In favour of a legal standard: it removes the risk of issuers choosing their own definition of “green,” directly limiting greenwashing, as the EU’s 85%-taxonomy-alignment rule does. Against: a legal standard may be slower to adapt to new kinds of environmental project, and could exclude legitimate but unconventional green investments (perhaps including some transition bonds) that do not fit the official taxonomy. A strong answer should weigh certainty and trust against flexibility.

Confidentiality note: Discuss public bond programmes and standard-setters only.

3.2. Infrastructure Investment

Aim: Explain the gap between the infrastructure the world needs and what it will pay for, and show who fills that gap besides national governments.

Target vocabulary: public-private partnership (PPP), infrastructure funding gap, multilateral development bank (MDB), concession, blended finance, institutional investor.

Reading answers:

1. That infrastructure is built and paid for by government alone.
2. Capacity that is never built, and old infrastructure that now needs expensive repair.
3. It earns tolls or fees during a fixed concession period, before ownership returns to the state.
4. Because it built most of its infrastructure decades ago (1950s-1970s), so a large share of it is now old enough to need repair or replacement, and a shrinking workforce makes the repairs harder to staff.
5. Because it is public money used specifically to reduce the risk on a project until private investors will put their own money in.

Discussion answers:

1. **The reading lists four sources of infrastructure funding: public budgets, PPPs, development banks, and private investors. Which do you think should carry most of the burden, and why?** There is no single correct answer, and the reading itself notes “each source has a limit.” A strong answer picks one and defends it against the reading’s own stated limits on the others: public budgets are the most democratically accountable but “compete with health and pensions”; PPPs bring in private capital but “can make an asset costly to use” through tolls; development-bank loans are relatively low-cost but “add to national debt.” A learner arguing no single source should dominate, and that the right mix depends on the specific project, is also making a well-supported point.
2. **PPP toll roads shift the cost from taxpayers to the people who use the road. Is that fairer, or not? Explain.** In favour of fairness: people who actually use the road pay for it directly, rather than taxpayers who may never use it subsidising those who do. Against: this can be unfair to people who have no practical alternative route, effectively taxing them for a service everyone in the country might reasonably expect access to; it may also be regressive if lower-income drivers pay the same toll as wealthier ones. A strong answer should use the Nairobi Expressway example to ground the discussion in a real case.
3. **Japan faces a large repair bill for infrastructure built decades ago. Should a government prioritise maintaining old assets or building new ones when money is short?** A strong answer should engage with the reading’s own framing of the ageing-infrastructure problem as urgent (bridges reaching “the point where damage spreads quickly”) rather than treat this as an abstract choice. Prioritising maintenance

protects safety and existing economic activity that already depends on that infrastructure; prioritising new construction might better serve future growth or unmet needs, but risks costly failures in aging assets meanwhile. A learner arguing for maintenance-first in Japan's specific case, given the reading's safety framing, is well supported by the text.

4. **Compare the Nairobi Expressway model with fully public construction. Give two advantages and two risks of the PPP approach.** Advantages: it lets a country build infrastructure it might not otherwise afford immediately, since the private contractor provides most of the upfront capital (about 80% in this case); and it can transfer some construction and operating risk to the private partner rather than the state. Risks: the tolls the private partner needs to recoup its investment could make the road too costly for some users; and a multi-decade concession (about three decades here) locks the country into a long-term arrangement that may become unfavourable if conditions change. A strong answer should give distinct, non-overlapping points for each column.
5. **Design three conditions a government should attach to any PPP contract to protect the public interest.** Reasonable conditions include: a cap on how much the toll or fee can rise over the life of the concession, so users are protected from unlimited price increases; clear performance and maintenance standards the private partner must meet, with penalties for failing them; and a clearly defined point and process for the asset returning to full public ownership and control at the end of the concession. Any three specific, enforceable conditions (not vague aspirations like "be fair") should be accepted.

Confidentiality note: Discuss public infrastructure projects and named institutions only.

3.3. Trade Policies and Tariffs

Aim: Explain who bears the cost of a tariff and how tariffs and trade agreements pull an open economy in opposite directions.

Target vocabulary: tariff, importer of record, pass-through, most-favoured-nation (MFN) tariff, free trade agreement, effective tariff rate.

Reading answers:

1. The importer of record, the company bringing the goods across the border; the economic cost is less clear because it can be split three ways between the exporter, the importer and the final buyer, and studies disagree on how it actually splits.
2. It rose from about 2.4% to a peak near 28% in the spring, then settled around 17% by the autumn — roughly a sevenfold rise from the starting point to the autumn level.
3. Up to US\$550 billion of investment in US industries such as semiconductors and energy by 2029.
4. Because of a standard rate plus a 25% penalty tied to India's purchases of discounted Russian oil.
5. A free trade agreement is a standing commitment to keep barriers low between its members, unlike a tariff, which a government can raise at will.

Discussion answers:

1. **The reading says a tariff's cost is shared between exporter, importer and buyer. Who do you think ends up paying most in practice, and why?** The reading itself shows genuine disagreement between real studies: one Federal Reserve analysis found about 90% falling on US firms and consumers, while another found foreign exporters absorbing close to half. A strong answer should pick a side and use the reading's own explanation of why — pass-through “depends on how much pricing power the exporter has.” A learner might argue final buyers pay most in practice because both firms in the middle (exporter and importer) will try to protect their own margins first; another might argue large, dominant exporters can afford to absorb more of the cost than small importers can. Either is acceptable with reasoning.
2. **The same tariff tool was used against Japan as a bargaining chip and against India as a punishment. Is it reasonable for a country to use trade taxes this way? Explain.** In favour: a government has to use the leverage available to it, and if tariffs can achieve a foreign-policy or trade goal without military or purely diplomatic tools, that may be preferable to those alternatives — this echoes the broader “leverage, not control” theme that appears again in Topic 4.5. Against: using the same economic tool as both reward and punishment risks appearing arbitrary or purely political rather than principled trade policy, potentially damaging trust in trade relationships generally, as India's own “unfair, unjustified and unreasonable” reaction suggests. A strong answer should note both cases used the identical mechanism for very different purposes.

3. **Japan sends nearly a fifth of its exports to the US. What are the risks of depending so heavily on one market, and what could Japan do to reduce them?**
Risks, drawn directly from the reading: a single trading partner's policy changes (like the 2025 tariffs) can hit a large share of the exporting country's trade all at once, and the reading is explicit that "levels moved several times within two years" — showing this dependence carries real unpredictability, not just a one-off shock. To reduce the risk, Japan could diversify its export markets, or rely more on agreements like the CPTPP that create standing, predictable low-tariff access to a wider group of countries rather than depending on one relationship that can shift with any change in policy.
4. **Compare a tariff with a free trade agreement as ways of managing trade. Which serves a mid-sized exporting economy better?** A tariff gives a government fast, flexible control but is unpredictable for exporters on the other side, since it "can be raised at will." A free trade agreement gives exporters a "standing promise" of stable, low-barrier access, which the reading shows removes about 95% of tariffs among CPTPP members — much better for long-term business planning. For an economy like Japan that depends heavily on exports, a strong answer should favour free trade agreements for predictability, while noting a government may still use tariffs defensively or as negotiating leverage in specific disputes.
5. **Advise a manufacturer that exports to the US on three ways to protect its business against sudden tariff changes.** Reasonable steps: diversify export markets so no single country's tariff policy can affect too large a share of sales; build tariff-rate changes into medium-term financial planning and pricing, rather than assuming current rates are permanent; and monitor and, where possible, take advantage of any free trade agreements or negotiated frameworks (as Japan did in 2025) that could reduce or stabilise the tariff burden. Any three specific, business-relevant actions grounded in the reading's own examples should be accepted.

Confidentiality note: Discuss public trade policy and government data only.

3.4. Pension Reform

Aim: Explain why ageing populations force governments to change public pension systems, and compare the main levers they use.

Target vocabulary: pay-as-you-go (PAYG), statutory retirement age, contribution rate, replacement rate, old-age dependency ratio, automatic adjustment mechanism.

Reading answers:

1. It raised the minimum retirement age from 62 to 64; in 2025 the increase was suspended until after the 2027 presidential election, freezing the age at 62 years and 9 months.
2. Raise the retirement age, raise the contribution rate, cut the benefit formula, or bring more people into the system.
3. It is projected to run down, after which incoming payroll taxes would cover only about 78% of promised benefits unless Congress acts.
4. Because it spreads the cost onto today's workers rather than asking them to wait longer for retirement, which is politically less painful to pass even though it still costs those workers money.
5. It automatically trims how fast pension benefits grow, based on life expectancy and the shrinking workforce, without needing a new law each time.

Discussion answers:

1. **Of the four levers — higher retirement age, higher contributions, lower benefits, wider coverage — which is fairest for spreading the cost of an ageing population?**
There is no single correct answer, and a strong response should weigh who bears each cost. Higher retirement age falls on workers nearing retirement, who may have planned their lives around an earlier date. Higher contributions fall on all current workers, spreading the cost more broadly but reducing take-home pay now. Lower benefits fall on future retirees, who have the least ability to plan around a change made after they have already contributed for decades. Wider coverage (as in Japan's 2025 reform) can raise revenue without cutting anyone's existing promised benefit, which some learners may argue is the fairest lever, though it depends on new contributors also gaining fair future benefits.
2. **France raised its retirement age and then suspended the rise within two years. What does this suggest about how pension reform should be planned and explained to the public?** The reading's own account — months of strikes before the law passed, then budget pressure and renewed protests leading to suspension — suggests that a reform pushed through without lasting public acceptance can be reversed at real political cost, even after it has technically become law. A strong answer should draw the lesson that durable pension reform likely needs broader public buy-in or a more gradual, clearly explained phase-in, not just legal passage,

since a law that is later suspended achieves little of its original purpose while still paying the political cost of having tried.

3. **Japan uses an automatic mechanism that trims benefit growth without a new law each time. Is it a good idea to take these decisions out of politicians' hands?**

In favour: France's stop-start experience is a direct contrast — an automatic mechanism cannot be easily suspended for short-term political reasons the way a discretionary law can, which may make the system more resilient to exactly the kind of reversal France experienced. Against: removing a decision from democratic control also removes public accountability for a choice that directly affects people's retirement income, and an automatic formula set years ago may not adjust well to conditions nobody anticipated. A strong answer should contrast Japan's stability with France's instability as concrete evidence for the "in favour" side, while still taking the accountability concern seriously.

4. **Compare the US approach (one large reform in 1983, little since) with Japan's approach (continuous small adjustments). Which is better for a pension system's stability?** Japan's continuous approach, as the reading shows, has kept the system adjusting to changing conditions for 30 years without needing another single dramatic reform, and the "macroeconomic slide" mechanism keeps working quietly in the background. The US's one-time 1983 reform bought decades of stability but the reading shows a real limit is now approaching (the trust fund's projected 2032 depletion) with "no major reform" having followed to address it. A strong answer should argue that continuous small adjustments look more stable in this reading's evidence, since the US case shows the risk of a single reform eventually running out of room without a follow-up.

5. **Advise a government whose pension fund is projected to run dry within ten years on a package of two or three measures it should take now, and say why.** A strong package should combine levers rather than relying on just one, following the reading's own portrait of Japan's multi-lever approach: for example, a modest, gradual retirement-age increase (learning from France's experience, phased in slowly and explained clearly to avoid a political reversal) combined with wider coverage of currently-excluded workers (following Japan's 2025 reform) to raise revenue without cutting anyone's existing promised benefits. A learner could reasonably substitute a contribution-rate rise (following South Korea) for one of these, provided they explain the trade-off it involves.

Confidentiality note: Discuss public pension systems and government data only.

3.5. Global Economic Recovery Post-COVID

Aim: Use the 2020 pandemic downturn to show how governments respond to a global shock, and why recoveries from the same shock can diverge so sharply.

Target vocabulary: fiscal stimulus, monetary easing, quantitative easing (QE), K-shaped recovery, scarring effect, output gap.

Reading answers:

1. Global output fell about 3.3% in 2020, a deeper one-year drop than the 2008 financial crisis; the euro area's fall (6.8%) was close to double the United States' decline.
2. To spend whatever it took to stop a health emergency becoming a lasting depression.
3. Because rich economies could borrow cheaply and spend heavily, while poorer economies could not and spent far less as a share of their economies.
4. Japan's peak (4.2%) was far lower than the United States' (9.1%) and the euro area's (above 10%).
5. Because the pace and shape of recovery varied sharply between countries and even between rich and poor economies, rather than following one shared pattern.

Discussion answers:

1. **The reading says spending "whatever it took" worked in countries that could afford it. Was that the right approach, given the higher debt it left behind?** In favour: the reading is explicit that the feared collapse into a lasting depression "did not happen" in the countries that could afford heavy spending, which is a strong, concrete success to weigh against the cost. Against: the higher public debt left behind is a real, lasting legacy that limits future government choices and could constrain the response to the next shock — the reading's own closing question raises exactly this doubt. A strong answer should engage with both the demonstrated benefit and the acknowledged cost, rather than treating the choice as obviously right or wrong.
2. **A global shock produced very unequal recoveries. Whose responsibility, if anyone's, is it to help the countries left behind?** This is a genuinely open question with reasonable answers on different sides. A case for shared international responsibility: the shock was global and not caused by the affected developing economies themselves, so wealthier countries and international institutions (echoing the World Bank and IMF roles that recur across this book) have some obligation to help close the gap. A case against an automatic obligation: each country is primarily responsible for its own fiscal capacity and choices, and continuous external support could reduce the incentive for a country to build its own resilience. A strong answer should take a clear position and support it with reasoning, not just assert an opinion.
3. **Japan's inflation rose much less than in the US or Europe, yet the reading says it still "felt sharp." Why would a smaller price rise matter more in Japan than elsewhere?** The reading gives the direct answer: Japan had spent about 25 years with near-zero or falling prices, so any noticeable rise was a break from a very different,

long-established normal — described as “Japan’s fastest pace since 1981.” A price rise that would be unremarkable in a country used to moderate inflation can feel sharp and unfamiliar in a country whose recent experience is the opposite. A strong answer should connect this directly to the specific 25-year baseline the reading names, not just assert that “any change feels big” in general.

4. **Compare a fast, large policy response with a slower, more cautious one. What are the risks of each when the next global downturn comes?** A fast, large response (as most of the world used in 2020) risks building up large public debt and possibly triggering the kind of inflation burst seen in 2022, but can prevent the deepest, most damaging economic collapse. A slower, more cautious response risks allowing more economic damage (deeper job losses, more business failures) to occur before help arrives, but preserves more fiscal room for the future and may avoid overheating the economy afterward. A strong answer should note the reading’s own framing: speed and size worked where it was affordable, which implies the real risk of a fast response is concentrated in countries that cannot actually afford it.
5. **Design three lessons from the COVID recovery that governments should build into a plan for the next economic shock.** Strong lessons, grounded directly in the reading: (1) have a plan for supporting lower-income and developing economies specifically, since the reading shows they were left furthest behind without a fast, large response of their own; (2) build some fiscal room in normal times so that a future large response does not permanently damage a government’s finances the way this one may have; (3) recognise that the same global shock can produce very different national experiences (different inflation peaks, different reopening speeds), so a one-size-fits-all response plan may not fit every country equally well. Any three specific, reading-grounded lessons should be accepted.

Confidentiality note: Discuss public economic data and named institutions only.

4.1. Anti-Money Laundering (AML) Regulations

Aim: Explain how governments try to keep the proceeds of crime out of the financial system by making banks the front line of detection.

Target vocabulary: money laundering; anti-money-laundering (AML); Financial Action Task Force (FATF); mutual evaluation; suspicious-transaction report; the “travel rule”.

Reading answers:

1. Whether to release the payment, hold it, or file a suspicious-transaction report with the national financial-intelligence unit.
2. Because it is based on an old estimate, and the true scale of money laundering is inherently hard to measure precisely.
3. Identify each customer and the real person who controls a company, monitor for unusual activity, report what looks suspicious, and screen names against sanctions lists.
4. Because a weak review raises the cost and friction of every cross-border payment a country's banks make, giving even a reluctant government a practical reason to comply.
5. That after each major AML scandal, regulators have responded with either a much larger financial penalty or the creation of a new supervisory body — an admission that the previous line of defence was not enough.

Discussion answers:

1. **AML rules make private banks do the detection work. Is that the right body to carry it, or should governments do more themselves?** In favour of banks carrying the work: banks already see the transaction data directly and in real time, so they are practically positioned to spot suspicious patterns in a way a government agency checking after the fact cannot easily replicate at the same scale. Against: this places enormous cost and responsibility on private firms to police financial crime, and creates an uneven system where a bank's own commercial incentives (not wanting to lose a customer's business) can work against thorough reporting. A strong answer should note the reading's own framing: governments “transfer the work” to banks precisely because they cannot watch every transaction themselves — this is a practical necessity as much as a principled choice.
2. **FATF has no power to fine a country, yet its reviews change behaviour. Why does that indirect pressure work?** The reading gives the mechanism directly: a poor FATF review (placing a country on the “grey list” or in “enhanced follow-up,” as happened to Japan) “raises the cost and friction of every cross-border payment a country's banks make.” Because global banks and payment systems rely on trust and smooth cooperation across borders, a country seen as high-risk faces real, if indirect, economic costs — other banks may add extra checks, delays or refuse business — which gives its own government a strong incentive to comply even without a formal

fine. A strong answer should name this economic mechanism specifically, not just say “reputation matters.”

3. **Very large fines are meant to deter. Do you think a US\$3 billion penalty changes how a bank behaves, or is it treated as a cost of doing business?** Both views are defensible and the reading’s own closing line supports a nuanced answer: “each scandal has been followed by a larger penalty or a new supervisor — an admission that the last line of defence was not enough” implies fines alone have not fully solved the problem, since scandals keep recurring at new institutions. A learner could argue a fine large enough to include real consequences beyond money (TD Bank’s case included “a legal cap on its US growth,” a genuine business constraint) does change behaviour more than a fine alone would; another could argue that if scandals of this scale keep happening at different banks, deterrence clearly has limits.
4. **Compare the FATF “grey list” and a record fine as tools for improving AML. Which would influence a bank more, and why?** A record fine hits one specific institution directly and immediately, and (as with TD Bank) can come with real operational limits, not just money — likely a strong deterrent to that specific bank and a warning to others watching. A grey-listing affects an entire country’s banking system’s reputation and cost of doing business, which may be a slower-moving but broader pressure that pushes a whole national government to act (as Japan’s case shows), rather than just one bank. A strong answer should note these tools work at different levels — institution versus country — and could reasonably argue either is more powerful depending on whether the goal is changing one bank’s behaviour or a whole country’s regulatory framework.
5. **You advise a mid-sized bank on where to spend a limited compliance budget: customer identity checks, transaction monitoring software, or sanctions screening. Rank the three and justify your order.** There is no single correct order; the reading identifies all three as parts of what banks must do (identify customers, monitor for unusual activity, screen against sanctions lists). A defensible ranking places customer identity checks first, since accurate identification of who actually controls an account is the foundation that makes the other two checks meaningful — monitoring and screening are less effective if the bank does not actually know who it is dealing with. A learner ranking transaction monitoring first could reasonably argue that ongoing detection of suspicious patterns catches problems that pass initial identity checks, which is also a defensible priority.

Confidentiality note: Discuss public enforcement actions and named cases only; do not ask learners about actual AML procedures at their own employer.

4.2. Financial Literacy Programs

Aim: Weigh the evidence on whether organised financial-education programmes actually change how people manage money.

Target vocabulary: financial literacy; meta-analysis; randomised controlled trial (RCT); “just-in-time” education; national financial-education strategy; default option.

Reading answers:

1. That financial education explained only a fraction of a percent of later financial behaviour, and whatever effect it had faded within about two years.
2. It found financial education has real, measurable effects on both knowledge and behaviour — at least three times as large as the 2014 estimate.
3. Whether the programme is well-designed and delivered near a real decision, versus poorly designed or badly timed.
4. It is decided state by state, so requirements vary; the number of states guaranteeing a standalone personal-finance course has grown substantially but is not universal.
5. In 2022 the age of majority dropped to 18, so first-year university students can now take out loans and credit cards without a parent’s consent; and school guidelines added household budgeting and “asset formation” to home-economics classes.

Discussion answers:

1. **The evidence on whether financial education “works” is genuinely mixed. Should governments keep funding it while the question is unsettled? Give reasons.** In favour of continuing to fund it: the more recent, larger 2022 meta-analysis found real effects, and the honest summary the reading offers is not that it fails, but that “well-designed programmes delivered near a real decision” show measurable effects — so the right response to mixed evidence may be to fund it better, not to stop funding it. Against: if resources are limited, a government could reasonably choose to redirect funding toward interventions with more consistently proven results (like the “just-in-time” or default-option approaches the sceptical case favours) rather than continuing an approach whose value depends heavily on design quality that is hard to guarantee at scale.
2. **Some argue that better default options and rules do more good than teaching. Do you agree? Use an example.** The reading’s own sceptical case supports this argument directly, favouring “just-in-time” guidance and better defaults over classroom teaching. A concrete example a learner might use: automatically enrolling employees into a workplace pension scheme (a default they must actively opt out of, rather than opt into) has been shown elsewhere to increase saving more reliably than teaching people about the importance of saving. A learner disagreeing could point to the reading’s own 2022 meta-analysis finding real effects specifically for “budgeting, saving and borrowing” as evidence that well-timed teaching does add real value beyond just defaults.

3. **The reading says education provided by a seller carries a conflict of interest. How serious is that problem, and how could it be avoided?** The problem is serious because a seller has a direct financial incentive to steer “education” toward products that benefit the seller, which the reading contrasts explicitly with Japan’s J-FLEC model, designed as “education free of a seller’s incentive to push its own products.” A strong answer should note this is structurally similar to the credit-rating conflict of interest in Topic 2.2 — whoever benefits from a favourable outcome should not be the sole source of the information about it. Avoiding it means funding education through an independent or public body (as Japan has now done) rather than relying on financial firms to educate their own potential customers.
4. **Compare the US state-mandate approach with the UK’s coordinated national strategy. Which looks more likely to change behaviour, and why?** The US approach guarantees direct classroom delivery in the states that adopt it, and the reading cites real evidence that earlier state mandates “improve young adults’ credit scores and cut their use of high-cost borrowing” — a concrete, measured outcome. The UK’s approach is broader and more coordinated across many institutions but delivers less direct, uniform teaching itself, since it “coordinates banks, charities and schools rather than delivering all the teaching itself.” A strong answer could favour the US approach for its documented direct evidence, or favour the UK approach for its wider, more consistent national reach, provided the reasoning engages with what each approach actually does differently.
5. **Design a short financial-education programme for 18-year-olds in their first year at university. Say what it would cover, when it would be delivered, and how you would test whether it worked.** This is a creative task with no single correct design — assess it against the reading’s own principle that well-designed programmes work best “near a real decision.” A strong design would deliver content close to the moment students first face relevant decisions (taking out a first loan or credit card, following Japan’s own age-18 change), cover practical topics like budgeting, interest and borrowing costs (echoing the strongest-result areas in the 2022 meta-analysis), and test effectiveness by measuring actual later behaviour (borrowing costs, repayment records) rather than only a knowledge quiz immediately after the course, since the reading shows knowledge gains can fade without a behaviour change to match.

Confidentiality note: Discuss public survey data and named institutions only.

4.3. Wealth Inequality and Redistribution Policies

Aim: Explain how wealth inequality is measured and which redistribution tools actually move the numbers.

Target vocabulary: wealth (net worth); Gini coefficient; progressive / regressive tax; transfer payment; net wealth tax; effective tax rate.

Reading answers:

1. Because wealth compounds over time and passes between generations, while a wage stops when the work does.
2. A Gini coefficient of 0 means everyone is equal; 1 means one person owns everything.
3. It fell from 12 to just three (Norway, Spain and Switzerland), mainly because the taxes raised little, were hard to value and enforce, and prompted wealthy residents to move assets abroad or leave.
4. Because income from selling shares or dividends is taxed at a flat 20%, while employment income is taxed progressively up to about 45%, and the wealthiest take more of their income as investment returns.
5. Individuals worth more than US\$1 billion would pay at least 2% of their wealth each year; applied to roughly 3,000 billionaires, this would raise an estimated US\$200–250 billion.

Discussion answers:

1. **Annual wealth taxes have mostly been repealed. Does that mean they are a bad idea, or that they were badly designed?** The reading's own list of reasons for repeal — the taxes "raised little, were hard to value and enforce, and prompted wealthy residents to move assets across borders or leave" — points more toward implementation and design problems than a flaw in the underlying idea of taxing wealth itself. A learner could argue the repeated failure across many different countries' designs suggests a deeper structural problem, not just bad luck with implementation each time; another could argue the Zucman blueprint's international-coordination approach is specifically designed to fix the "move assets abroad" problem, suggesting the earlier failures were indeed a design flaw that a better-coordinated version could fix.
2. **The reading says tax design matters more than headline rates. Do you agree? Use the Japanese example.** The Japanese case supports this directly: Japan's headline progressive rate reaches about 45%, which sounds strongly redistributive, yet the reading shows the *effective* rate can actually fall for the very highest earners because of how investment income is taxed differently from employment income. A strong answer should use this specific mechanism — not just repeat "design matters" abstractly — to show how a country can have a high headline rate and still under-tax its wealthiest people in practice.

3. **A global minimum tax on billionaires needs many countries to act together. Why is that so hard, and is it achievable?** The reading gives a direct example of the difficulty: the US and Germany were “among the holdouts” even on a non-binding joint statement, showing that even agreeing to discuss the idea faces resistance from major economies. The difficulty stems from countries competing for wealthy residents and their investment, so any single country acting alone risks driving that wealth elsewhere — exactly the “move abroad” problem that sank earlier national wealth taxes. Whether it is achievable is genuinely open; a learner could point to the fact that a joint statement was reached at all as a sign of some momentum, or point to the holdouts as evidence real coordination remains distant.
4. **Compare taxing income and taxing wealth. Which is easier for a government to do well, and why?** Taxing income is generally easier because income (wages, interest, dividends) is regularly reported and relatively straightforward to observe and tax as it is earned. Taxing wealth is harder because it requires valuing assets that may not have a simple market price (private business ownership, art, property in some cases), and, as the reading shows with the repealed OECD wealth taxes, is easier for the wealthy to avoid by moving or restructuring assets. A strong answer should use the reading’s own “hard to value and enforce” phrase as direct evidence for why wealth taxation specifically has struggled where income taxation has not.
5. **You advise a government that wants to reduce wealth inequality without driving wealthy residents abroad. Recommend two measures from the toolkit and explain why you chose them over the others.** A strong recommendation should avoid the specific measure the reading shows has repeatedly failed for exactly this reason (the annual net wealth tax) and instead choose from the other three: progressive income tax, transfer payments, or taxes on capital gains and inheritance. A reasonable pairing: progressive income tax (broad-based, harder to avoid by simply relocating a single asset) combined with transfer payments (directly redistributive, and, unlike a wealth tax, does not require difficult annual asset valuation). A learner could instead focus on closing the specific gap the reading identifies in Japan — taxing investment returns at rates closer to employment income — provided they explain the reasoning.

Confidentiality note: Discuss public data and named policy proposals only; do not ask learners to discuss their own or their family’s finances.

4.4. Corporate Governance and Accountability

Aim: Trace how corporate-governance rules developed — mostly after scandals — and explain the chain of accountability they try to enforce.

Target vocabulary: corporate governance; board of directors; non-executive (independent) director; “comply or explain”; cross-shareholding; shareholder activism.

Reading answers:

1. Shareholders elect the board; the board — not the shareholders directly — is supposed to hire, monitor, pay and, if necessary, fire management on the owners’ behalf.
2. Depart from the code, as long as it publicly explains why.
3. The auditor (which had signed off for a decade) and the regulator (which had spent its energy investigating the journalists who raised the alarm, rather than the company) both failed to catch or stop the fraud.
4. Add outside directors, disclose more, and unwind cross-shareholdings.
5. By persuading large institutional investors — index funds and public pension funds — to back its candidates, despite owning only a tiny stake itself.

Discussion answers:

1. **Governance rules have mostly followed scandals rather than prevented them. Is that inevitable, or could rules be more forward-looking?** A strong answer should engage with why this pattern keeps repeating across every case in the reading (Cadbury after collapses and frauds, Sarbanes-Oxley after Enron, India’s 2013 Act after Satyam), rather than simply asserting it could be different. A case for “inevitable”: regulators cannot anticipate every new way governance can fail, so rules genuinely need real failures to reveal what to fix. A case for “could be more forward-looking”: international bodies and academics regularly identify emerging governance risks before they cause a scandal — the challenge may be political will to act pre-emptively, not a lack of foresight. A learner should pick a position and defend it with the reading’s own repeated pattern as evidence either way.
2. **The UK uses “comply or explain” codes; the US uses hard law. What are the strengths and weaknesses of each approach?** “Comply or explain” is flexible — it lets each company adapt governance practices to its own circumstances while still requiring public accountability if it departs from the norm. Its weakness is that a company can technically comply by explaining a departure without ever being forced to actually change anything, which may allow weak governance to persist as long as it is disclosed. Hard law (Sarbanes-Oxley) forces specific, uniform action (personal certification of accounts by executives) with real legal consequences for failure, which the reading implies is stronger enforcement — but it is less flexible and may impose costs even on companies whose governance was already sound.

3. **Japan's reforms are credited with helping lift share prices, but critics say disclosing a plan is not the same as delivering results. How would you tell whether the reforms worked?** A strong answer should propose a concrete test, not just assert the reforms "probably worked" or "probably didn't." Reasonable tests: tracking whether companies that published capital-efficiency plans (following the 2023 TSE campaign) actually achieved measurable improvement in the years after, not just at the time of announcement; or comparing whether cross-shareholdings have genuinely continued to unwind over time, not just in the initial years after the codes were introduced. A learner should note that the reading's own claim ("credited as one trigger") is itself cautious language, acknowledging correlation rather than proven causation.
4. **Should a fund owning a tiny stake be able to reshape a large company's board? Give reasons for and against.** In favour: the Engine No. 1 case shows the mechanism worked because the fund persuaded much larger existing shareholders (index funds, pension funds) to support its case — meaning the ultimate power still rested with major owners, not the small activist alone, which the reading frames as the "owners-elect-the-board mechanism" working as intended. Against: it may seem disproportionate that a fund with about 0.02% ownership can trigger such significant change, and critics could argue this rewards skilful persuasion or media attention over genuine broad-based ownership. A strong answer should note the actual mechanism (persuading larger holders) rather than treating this as a tiny fund unilaterally "winning."
5. **Compare the Cadbury Report (1992), the Wirecard collapse (2020) and the Exxon board vote (2021) as moments in this history. Put them in order of how much each changed corporate governance, and defend your ranking.** There is no single correct order; the reading supports several defensible rankings. A common ranking places Cadbury first in impact, since it created the foundational "comply or explain" concept still used decades later across many countries. Wirecard could be ranked second, as a dramatic failure that showed even a "comply or explain" and hard-audit system can still fail completely, prompting renewed scrutiny of auditors and regulators. Exxon could be ranked third as a demonstration of an existing mechanism (shareholder-elected boards) working as designed, rather than a new rule being created. A learner could reasonably rank these differently if they explain what "changed governance" means to them — new rules created, versus existing rules proven to fail, versus existing mechanisms proven to work.

Confidentiality note: Discuss public named cases only.

4.5. Economic Diplomacy and International Cooperation

Aim: Show how governments use financial and trade ties as foreign-policy tools, and why doing so is costly to the country that tries it.

Target vocabulary: economic diplomacy; sanctions; asset freeze; SWIFT; secondary sanctions; price cap.

Reading answers:

1. Coercion (such as sanctions and asset freezes) and cooperation (such as coordinated crisis lending).
2. Froze roughly US\$300 billion of Russian central-bank reserves, cut major Russian banks out of SWIFT, and capped the price of Russian seaborne oil.
3. Because the US dollar dominates reserves, trade invoicing and cross-border payments, giving the United States the ability to impose “secondary sanctions” on firms in third countries.
4. Japan kept Mitsui’s and Mitsubishi’s stakes in the Sakhalin-2 gas project, which supplies about 9% of Japan’s liquefied natural gas, because Japan cannot fuel its power stations without it.
5. A severe energy-price and inflation shock, oil being re-routed and sold above the cap, and targets building alternative institutions and payment systems.

Discussion answers:

1. **The reading calls economic diplomacy “leverage, not control.” What is the difference, and why does it matter for policy?** Leverage means influencing another party’s choices by raising their costs or narrowing their options; control means directly forcing an outcome. The reading’s own verdict — the 2022 sanctions “imposed large costs and narrowed Russia’s options without forcing a change of course” — is direct evidence of leverage without control. This matters for policy because a government choosing to use sanctions should expect to raise costs and constrain choices, not to guarantee a specific desired outcome; setting the wrong expectation (control) risks the policy being judged a failure even when it achieves its more limited, real goal (leverage).
2. **The EU redirected the earnings on Russia’s frozen reserves rather than seizing the reserves themselves. Why might it have stopped short of seizure?** A strong answer should reason about the risks of the more extreme step, since the reading does not state the reasoning directly. Seizing the principal outright would be a more dramatic, possibly legally contested action that could undermine confidence in the EU or its financial institutions as reliable places to hold reserves for any country, not just Russia — a reputational risk for the euro and the EU’s securities depositories. Redirecting only the profits achieves a real financial benefit for Ukraine while stopping short of a step that could be seen as confiscation. A learner reasoning along these

lines, even without a direct quote, should be credited for sound inference from the broader theme of “leverage, not control.”

3. **Sanctions push targets to build alternative institutions and payment systems. Is that an acceptable price, or a reason to use sanctions less?** In favour of accepting the price: if sanctions still achieve meaningful, immediate leverage (as the reading shows they did against Russia), a longer-term shift toward alternatives may be a worthwhile trade for that leverage now, especially since building genuine alternatives (like a new global payments network) takes years. Against: if repeated sanctions accelerate the very outcome sanctions are meant to prevent — reduced dependence on, and therefore reduced leverage from, the sanctioning country’s financial system — then overuse could weaken the tool’s long-term effectiveness. A strong answer should note this is a real strategic trade-off the reading raises but does not resolve.
4. **Compare the coercive and cooperative tracks. Which do you think does more to advance a country’s foreign-policy aims?** The coercive track (sanctions) can achieve fast, visible leverage in a crisis, as the Russia case shows, but the reading’s own verdict is that it “narrowed Russia’s options without forcing a change of course” — a real but limited and costly result. The cooperative track (climate finance, debt relief through the IMF/World Bank) builds longer-term relationships and shared solutions, but the reading shows even that track has real limits (the COP29 goal was called “far too low” by many developing countries). A strong answer should note that these tracks may serve different goals — coercion for an urgent crisis, cooperation for a slower, structural problem — rather than assuming one is simply better than the other.
5. **You advise a government deciding whether to join an allied sanctions coalition against a country it depends on for energy. Set out the case for joining, the case against, and the conditions you would attach.** The case for joining: solidarity with allies matters for future cooperation and credibility, and Japan’s own case shows a country can join broad measures while still protecting its most essential interests. The case against: energy dependence creates real vulnerability to self-inflicted economic harm, as the reading shows Europe experienced with the 2022 energy-price shock. Conditions to attach, following Japan’s own example directly: negotiate a specific carve-out for the country’s most essential energy needs (as Japan did for Sakhalin-2) before or as part of joining, rather than accepting the coalition’s terms unconditionally.

Confidentiality note: Discuss public policy and named historical cases only.

